

What is limiting order frequency and retention, and which lever on each side of the marketplace fixes it?

Three concentrations limit growth: one-time customers, seven dominant restaurants, and one-week Dashers.



CUSTOMERS

3 in 4 customers ordered exactly once, and they absorb 69% of discount dollars.

THE MOVE

Test expiring second-order offers as a matched-market experiment; grow loyalist baskets with DoubleDash and bundles.



MERCHANTS

7 restaurants carry 53% of orders. In 42 of 50 markets, one restaurant is the entire market.

THE MOVE

Diagnose Central Jersey and recruit second restaurants in the largest single-restaurant markets.



DASHERS

77% of Dashers work a single week. Delivery speed leaves with them.

THE MOVE

Reward the consistent core with priority orders and home zones.

ALERT Memphis and Las Vegas fulfilled zero orders, all in week 1. Flagged for operations review and excluded from trend analysis.

Two customer problems: one-timers with high AOV, loyalists with small AOV

Who are our customer segments, and how do they behave?

Ordered in Sept	Customers	% Cust	% Orders	% GOV	% Disc \$	AOV
1 order	10,074	76.1%	51.5%	56.7%	69.3%	\$39.61
2 orders	1,883	14.2%	19.3%	18.6%	16.2%	\$34.70
3 orders	595	4.5%	9.1%	8.4%	5.5%	\$32.90
4–6 orders	535	4.0%	12.6%	10.8%	6.8%	\$30.78
7+ orders	145	1.1%	7.5%	5.5%	2.2%	\$26.75

69% of discounts

go to one-order customers, who deliver 57% of sales. Promo spend concentrates where repeat never happens

\$40 → \$27 AOV

baskets shrink steadily as frequency rises. Our most loyal customers spend the least per order

RECOMMENDATIONS

ONE-ORDER SEGMENT → FREQUENCY

- Test expiring second-order offers as a monitored experiment
- Add one-tap reorder + mealtime nudges
- DashPass trial after a fast, refund-free first delivery

LOYALISTS → BASKET

- DoubleDash add-ons
- Introduce bundles and family combos, merchant-funded member deals, group ordering

Assumption: orders with no driver record and no payment fields (457) are treated as unfulfilled, cancelled, or missing data, and excluded throughout. Times converted from UTC to Pacific. Frequency uses the full month, Sep 1 to Oct 1; customers may have ordered before this window.

Seven restaurants carry more than half of the volume

53%

of orders come from 7 of 62 restaurants. Stable at 52–55% each week.

31.6%

from the top two alone: Scranton and San Francisco.

42 of 50

regions have only one restaurant. These regions make up 75% of orders.

One restaurant is often the whole market

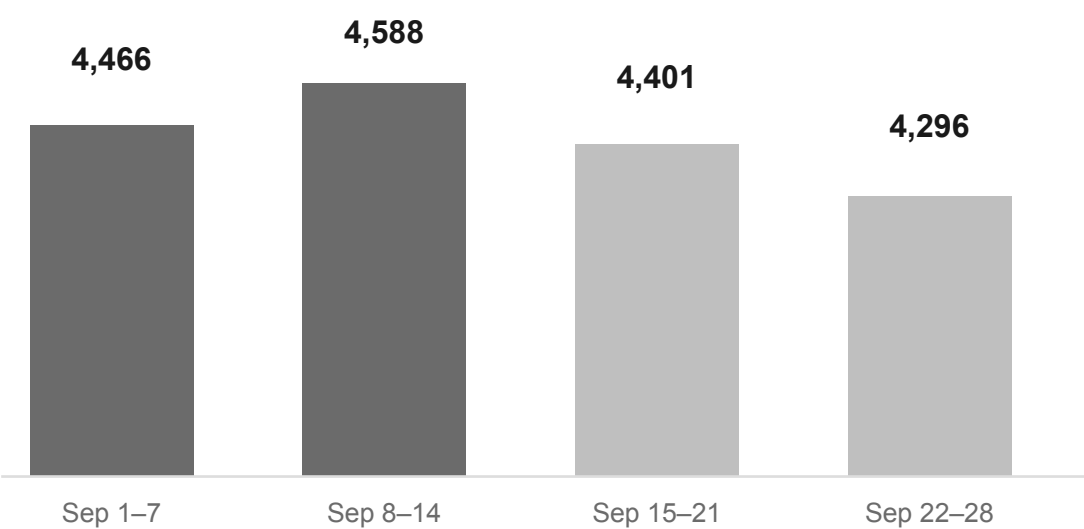
Region	Restaurants	Largest restaurant's share
Scranton	1	100%
San Francisco	1	100%
Central Jersey	2	92%
Orange County	3	86%
Dallas	4	40%

When one restaurant is 90 to 100% of a market, its prep speed, hours, and menu decide that market's numbers. **A slow region usually means a slow restaurant.** And if that restaurant leaves, the market goes with it.

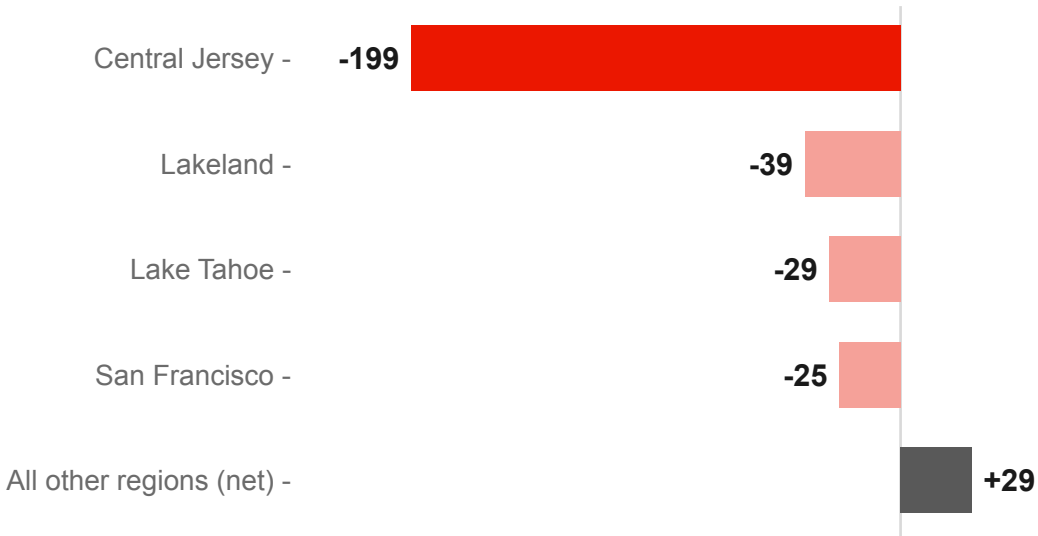
DIAGNOSE Why these seven? This data cannot tell whether they are our only partners in these markets, the only restaurants operating, or simply the most popular. We need to answer that before deciding where to invest.

One market caused the decline; the rest of the network grew

Weekly orders - Down 3.8% from week 1 to week 4.



Change by region, week 1 vs week 4 - Central Jersey fell 302 → 103 weekly orders.



DIAGNOSE

Check what changed with the main restaurant at Central Jersey. It holds 92% of the market and recorded zero orders on most days from Sep 19–28. Establish why: closure, a platform pause, or missing data.

DE-RISK

Add a second restaurant in the biggest single-restaurant markets, starting with Scranton and San Francisco.

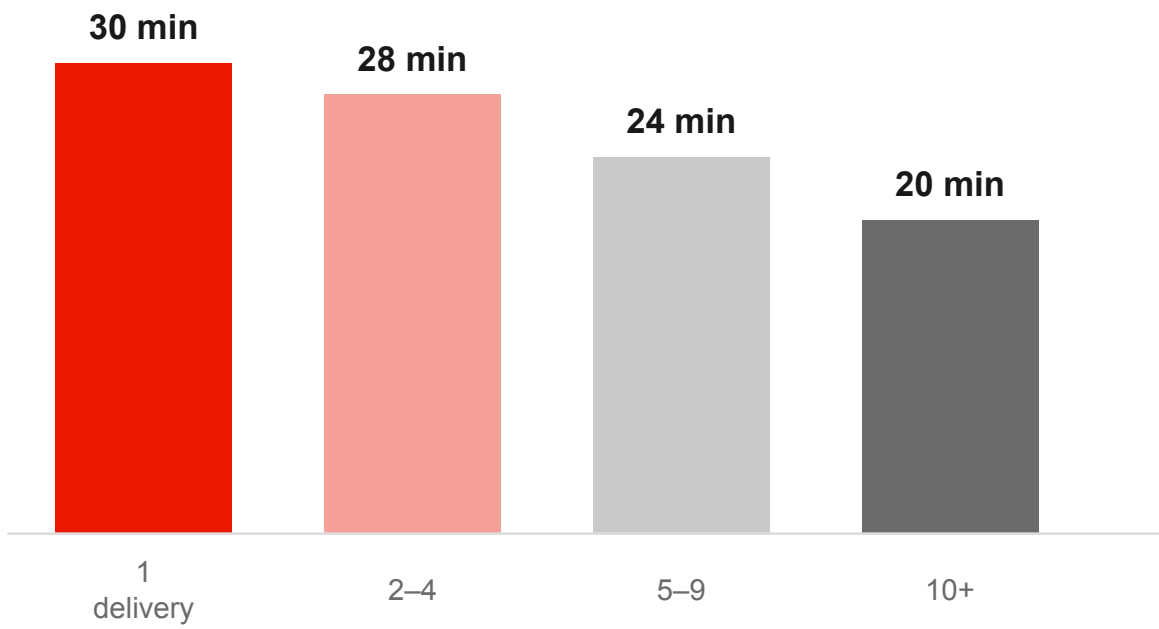
STANDARDIZE

Set prep-time targets with the slowest restaurants and share what the fastest busy restaurants do.

We lose most Dashers after one week, and lose delivery speed with them

Experienced Dashers deliver faster:

Every experienced Dasher we lose is replaced by someone 10 minutes slower.



Median delivery time by number of deliveries completed in September

How are Dashers behaving?

77% of Dashers

were active in only one week of the month. Supply is a revolving door, not a stable base.

1 in 4 came back

the following week. The first seven days decide who stays.

TIPS BY MARKET

Customers tip a steady ~10% whatever the speed. Only extreme delays trigger withholding: **1 in 5 orders over an hour gets no tip at all.**

Scranton runs an 8.8% average tip vs 11.5% in San Francisco, so pay per delivery is thinnest in the lowest-tip markets.

RECOMMENDATIONS

Reward the core. Give priority to consistent Dashers on large, high-tip orders.

Assign home zones. Familiar areas mean faster deliveries, better pay.

Pilot delivery robots. Cover short urban trips; free up Dashers for longer ones.

The problems are concentrated. So are the fixes.

THE MOVE	HELPS	SUCCESS LOOKS LIKE	MAIN RISK
Expiring second-order offers, run as a matched-market experiment	Customers	New-customer repeat rate rises above the current 24%	Adds promo cost to the segment that already absorbs 69% of discounts, with no guaranteed repeat
Diagnose Central Jersey; recruit a second restaurant in Scranton and San Francisco	Merchants	No market depends on a single kitchen and lost volume recovers	A second restaurant splits volume instead of growing it
Prep-time targets for the slowest high-volume restaurants	Customers, Dashers	Fewer 40-minute orders and shorter waits at pickup	Prep-time pressure without support can hurt food quality and Dasher safety
Priority orders and home zones for consistent Dashers	Dashers	More Dashers return for week two and median times hold near 20 minutes	Newer Dashers see fewer good orders in their first days

NEXT 30 DAYS

- 1. Pull restaurant history for Central Jersey, Memphis, and Las Vegas. One drove the decline; two never fulfilled an order.
- 2. Build the second-order offer pilot plan with marketing, finance, and merchant teams: two matched markets, targets set upfront. If repeat does not lift, this is not the segment to keep funding.
- 3. Start prep-time reviews with the ten slowest restaurants.

DIAGNOSIS PLAN: CENTRAL JERSEY AND STALLED MARKETS

- 1. The main restaurant shows zero-order stretches through September while demand held. Confirm with merchant whether it was closed, paused, or a reporting gap.
- 2. Audit cart-to-checkout drop-off, and check how many orders ride on card-linked credits that buy orders without loyalty.
- 3. Pilot two retention mechanics: an order-streak reward that unlocks free delivery after three orders in 30 days, and scheduled repeat ordering for weekday meals.